Project 1 - Edition A current checkpoint candidate

Alex Schwanke | AAPL common equity | Prepared October 16, 2026 with disclosed AI assistance. NOT YET SUBMITTED: no Brightspace receipt. Alex confirms on October16 that this checkpoint is on time and the professor permits AI-assisted preparation and submission now. This is student-reported permission; this document does not claim a pre-AI judgment or a prior successful receipt.

Decision and intended user

A buy-side committee with no existing holding deciding whether to initiate. Alex chooses INITIATE at September14,2026 close, USD, proposed3-5year horizon. Latest-published basic shares plus a TTM incremental dilution proxy yields14,649.596m diluted-proxy shares. Screening is not valuation evidence; later unavailable filings/market observations, unpriced future buybacks and unsupported control premiums are excluded. Same-day Siri publication before the close remains an evidence condition.

Current evidence and valuation judgment

The TTM base ends June27,2026, derived from FY2025 plus current9m less prior9m; revenue466,823m and reported EBIT154,859m. June balance-sheet proxies anchor five annual decision periods; no unreported September actuals are invented. A Products margin judgment reserve to38% normalizes EBIT150,954.1m. This is not a claim that a precisely measured tariff refund was removed.

Apple Intelligence/Siri may stimulate upgrades, premium mix and retention. Jess Tran challenged the original0.57% flat FCFF growth as low; the updated forecast derives FCFF from linked operating statements. A new capability does not prove incremental earnings. Current core DCF73-254 dollars/share versus333.08 close does not substantiate broad undervaluation. An extended high operating/duration regime286-350 requires strong margins, high incremental returns and unusually persistent growth. These are separate regimes, not values to average.

Alex explicitly accepts initiation at333.08 despite limited upside. Under his authorization the assistant proposes a5% valuation-upside hurdle: required value349.73. The350.48 extended high reference narrowly clears it. There is no extra margin of safety to core value and no claimed probability of achieving the high regime. The committee must confront the downside, not treat this as a mechanically justified Buy.

Assumptions and unknowns

Base iPhone growth10% fading6%, Services14% fading10%, Products margin38%, R&D10%, capex4%, tax18%, WACC9.72%, mature growth2.5% and incremental terminal ROIC30% are analyst-selected. The high case assumes iPhone18% fading10%, Services20% fading12%, Products41%, Services80%, R&D10%, capex4.5%, WACC8.5%, g3% and ROIC40%; the upper duration case adds15 fade years after year5. Duration dominates its interpretation.

Unknowns: incremental AI monetization, persistence of upgrade demand and retention, tariff/mix normalization, regulatory/search economics, future investment and terminal returns. Cash/debt/shares are dated published proxies; other current balances freeze in the model; D&A allocation is estimated. Qualify sparse peers and Alphabet's gain-contaminated P/E. Monitor adoption evidence and cash conversion; Alex's reversal condition is disappointing AI features. Numerical downside thresholds are proposals in Initiation-Defense.pdf.

Validation and provenance

Seventeen technical tests and a recorded isolated cold run pass. Tests include training known answers, source dates/hashes, base reconciliation, articulation, FCFF/bridge, boundary/direction, peers and terminal duration. An omitted separately reported20,342m intangible line caused a genuine failure and was explicitly corrected from the filing. AI-assisted changed-input work is separately labeled and cannot satisfy the human AI-off record. The personal prediction/precommit/run/diagnosis remain pending.

Codex assisted sources, code, calculations, tests and drafts. Alex supplies the investment stance, source/date election and actual partner recollections. This checkpoint candidate was created after AI-assisted modeling. Preserve all earlier report/draft files; do not overwrite them or present this candidate as an older baseline. The first actual successful Brightspace receipt will establish the baseline of record under the professor's reported permission. Edition B/evolution must then identify changes relative to that exact received file, including a truthful no-material-change statement when appropriate.

Sources: Apple June2026 10-Q https://www.sec.gov/Archives/edgar/data/320193/000032019326000020/aapl-20260627.htm ; Siri release https://www.apple.com/newsroom/2026/09/siri-ai-a-profoundly-more-capable-and-personal-assistant-is-here/ ; all dated market definitions and saved-source hashes in data/ and docs/sources-and-normalization.md. Source availability is bounded at September14,2026.

Research evolution - date and source correction

No successful Edition A receipt has been supplied. The prior report and draft files are preserved under the historical project1 folder; none is declared an unchanged successfully submitted checkpoint without its receipt. On October16 Alex confirms that the checkpoint is on time and the professor permits AI-assisted preparation/submission now. A current candidate is Edition-A-Current-Draft.pdf; it is not a received historical baseline. No AI-free attestation or backdated baseline is made. The final frozen Research-Evolution.pdf must begin with the actual received Edition A unchanged once available.

Current Edition B research record

Alex's recommendation remains INITIATE. Jess Tran questioned the original0.57% annual FCFF growth because it seemed low and endorsed reassessment using new AI information. The actual source was Apple's September 14,2026 Siri release, incompatible with the earlierOctober31,2025 valuation. Alex explicitly moved the active date toSeptember14,2026 close and requested a full financial/market refresh.

Item	Prior analysis	Current research	Driver / evidence
Student stance	Earlier business-quality Buy; assistant later watch/defer	Alex expressly retains initiate	Student judgment; not assistant acceptance
Partner challenge	Generic growth objection partially recalled	Original0.57% FCFF growth judged low by Jess	Alex's actual review notes, October 16
Date/evidence	2025 valuation paired with2026 Siri discussion	September 14,2026 close; Siri admissible subject to timing	Source-date audit and student's date election
Financial base	FY2025	TTMJune2026, derived from known annual and9m accounts	Latest published10-Q filedJuly31
Price / risk-free	270.37 /4.11%	333.08 /4.97%	Dated Yahoo close /Treasury curve
Forecast	Flat FCFF or earlier product paths	AI-oriented category assumptions, R&D/investment and linked statements	Labeled forecasts; independent checks
Valuation	Earlier core72-205	Refreshed core73-254; durable AI high286-350	Discount, source and duration changes; not mechanically averaged
New failure found	Older cash-basis correction	20,342m intangible omission detected and source-corrected	Base-year balance failure; filing p.3

The partner did not supply the new numerical paths or terminal duration. Their role was the actual challenge and feedback. The assistant's later source checks and calculations remain credited to AI assistance. Exact meeting time/order relative to earlier tests is unknown; no meeting-time rerun or human locked prediction is claimed.

Tested AI output and disposition

Corrected: treating the2026 Siri release as evidence for the2025 decision. Accepted with conditions: use it after moving the date and refreshing price, filings, shares, rates and peers. Corrected: the first refreshed balance sheet omitted the newly separate20,342m intangible line; the mismatch failed loudly, the official filing was checked, and the line was aggregated transparently. Qualified: a generic SEC intangible tag differs from the financial statement line and is not silently used. Forecast growth, margin reserves and terminal duration remain judgment proposals, not verified company guidance.

What changed and why? Evidence now fits the student's chosen decision date, partner feedback challenges the actual old FCFF assumption, and the model exposes the long growth runway required by the initiation thesis. The student stance did not change; numerical valuation support remains unresolved. No change is reported merely to manufacture an A-to-B story.

AAPL - initiation thesis and valuation challenge

Student recommendation: INITIATE. Alex Schwanke confirms this judgment; fund has no position. Valuation September 14,2026 close; USD common equity; proposed3-5year holding horizon. This is a conditional research draft, not a claim that the model has established undervaluation. The historical close is$333.08.

Decision and evidence

Alex's thesis is that Apple Intelligence/Siri supports incremental upgrades, premium-device mix and ecosystem retention while Apple maintains a broader business. Jess Tran challenged the original0.57% annual FCFF growth and supported reassessment of new information. The cited Siri release is September 14,2026, so Alex moved the valuation from 2025 and the financial/market stack was refreshed. A feature launch does not itself establish paid adoption or incremental earnings.

The latest public Apple base is TTMendedJune27,2026: revenue$466.8bn, EBIT$154.9bn, NI$128.9bn. June quarter accounts were filedJuly31; no unreported FY2026 annual data is used. The10-Q attributes higher Products margin partly to tariff refunds/mix. A judgmental normalization to 38% Products margin reduces EBIT to$151.0bn; forward tax 18%, R&D10% and PP&E capex4% of sales preserve investment costs rather than assuming AI revenue is free.

Defensible conditional ranges

Valuation regime	USD/share	Material condition
Core low/base/high DCF	73 /147 /254	Five explicit years, then mature growing perpetuity with reinvestment
High operating case plus5-15 extra years of growth fade	286-350	Strong execution, high margins and unusually durable returns beyond year 5
Peer EV/EBIT references	257-300	Microsoft/Alphabet market-relative reference, qualified business/capital mix
Peer GAAP P/E references	154-247	Alphabet gains materially weaken earnings comparison

These are different conditional valuation regimes, not a confidence interval. Do not average them. The$333.08 close exceeds the core high case and lies near the upper end of the long-duration AI case. A15-year fade after year 5 embeds roughly a20-year economic runway. Its approximately$350 upper reference provides only about 5% upside to the close, before any extra margin of safety. The evidence stack therefore does not yet establish an adequately protected initiation at this price.

Forecast, discount and bridge

Base iPhone growth 10% fading6% and Services 14% fading10% drive the five linked projection periods. Final-period EBIT is$231.8bn and FCFF$179.8bn; FCFF growth is derived from operations, not0.57%. Base WACC 9.72% uses dated Treasury 4.97%, selected beta 1.075, ERP 4.5%, debt cost6% and tax 18%. Incremental terminal ROIC 30% funds2.5% growth. Base terminal value contributes73% of EV; high case80%.

Base EV$2,122.7bn +$146.5bn liquid assets -$30.0bn operating reserve -$84.3bn interest-bearing debt =$2,154.9bn equity. Divide by 14,649.596m diluted-share proxy for the$147 diagnostic reference. Cash/debt are June-balance proxies and shares a July-published proxy, not invented September actuals. SBC remains an economic cost and repurchases do not create enterprise value.

Why the bullish view and model differ

The student's initiate judgment is preserved as human judgment; it is not substituted for numerical evidence. The model's core range assumes growth converges rapidly after year 5. Alex's thesis may require a much longer economic runway, so the terminal-duration test exposes that requirement rather than merely increasing an unexplained growth rate. Holding the core discount/terminal/bridge assumptions fixed, reverse DCF needs about 19.81% annual FCFF/NOPAT uplift over the already-growing base to match the price. This does not uniquely imply revenue growth.

Microsoft and Alphabet trading prices embed different cloud/AI, advertising, earnings and capital assumptions. Their multiples can anchor a market-relative discussion, but do not resolve Apple's cash conversion or make a long-duration AI thesis a fact. Alphabet's gains and share-class proxy qualify its P/E strongly. No defensible control/synergy transaction reference was supplied.

Downside, monitoring and reversal

Services regulation, hardware/China replacement weakness and AI-investment overrun produce approximately$117,$118 and$131 references. Combined structural downside is about$61. Cash conservation reduces distributions before violating the operating reserve. These are deterministic stresses, not probabilities.

Alex says disappointing AI features would change his view. Proposed measurable evidence: no incremental upgrade or retention benefit, weak premium mix, Services growth persistently below 6%, Products margin below 35%, or R&D above 12% without cash-flow conversion. These numerical thresholds are analytical proposals, not claimed meeting agreements. Material rate, reinvestment or regulatory changes require a fresh range. High-case initiation needs evidence supporting both strong near-term execution and the unusually long return runway.

Committee action and limits

Alex explicitly accepts INITIATE at $333.08 despite the model gap. Under his authorization, the assistant proposes a modest5% valuation-upside hurdle: required value$349.73; the extended high$350.48 narrowly clears it. There is no additional cushion to core value. This is a bullish judgment relying on high execution and a20-year runway, not a demonstrated risk-adjusted expected return. Initiation-Defense.pdf quantifies asymmetry and monitoring proposals. The committee must accept or reject that risk explicitly; no portfolio allocation or trade is executed.

Additional limitations: five forecast periods end September 2027-2031, using June2026 published opening balances as proxies; no unreported stub period is claimed. Other current balances are frozen; operating WC is narrow. D&A allocation and replacement spending are estimates. The new intangible line required explicit reclassification. Same-day Siri publication timing before the close is unverified. The financial tests prove articulation and formula behavior, not an investment payoff.

Sources: Apple June2026 Form 10-Q filedJuly31,2026, statements pp.1/3/5 and MD&A pp.15-18: https://www.sec.gov/Archives/edgar/data/320193/000032019326000020/aapl-20260627.htm . Siri release September 14,2026: https://www.apple.com/newsroom/2026/09/siri-ai-a-profoundly-more-capable-and-personal-assistant-is-here/ . Yahoo unadjusted historical prices and TreasurySeptember14 curve; full URLs, hashes, tags, accessions and definitions in data/ and sources-and-normalization.md. Material Codex assistance and tests are disclosed in Validation-and-AI-Use.md. Human locked prediction, actual recordings/transcripts and submission receipts remain outstanding.